MERIDIAN FINANCIAL GROUP

Quarterly Risk Disclosure Statement

Reporting Period: Q3 2025 (1 July – 30 September 2025)

Regulatory Reference: FRB-2025-0847

Entity	Meridian Financial Group
Registered in	Delaware, USA · LEI: 7LKEAM6F3H3V5TH4XO14
Regulator	Federal Reserve Board · OCC
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1. Executive Summary

Meridian Financial Group ("the Group") presents its Quarterly Risk Disclosure for the period 1 July 2025 to 30 September 2025, submitted in accordance with Federal Reserve Board Regulation Q and the requirements of the Dodd–Frank Wall Street Reform and Consumer Protection Act. The Group operates across retail banking, corporate lending, capital markets, and asset management divisions in 14 jurisdictions.

Total risk-weighted exposure for Q3 2025 stands at **USD 4,820 million**, representing a 6.3% increase over Q2 2025 (USD 4,535 million), driven primarily by growth in the corporate lending portfolio and elevated market volatility observed in August 2025. The Group's Common Equity Tier 1 (CET1) ratio remains above the regulatory minimum at **12.4%**, providing a capital buffer of 440 basis points above the 8.0% requirement.

The highest-ranked risk category for the reporting period is **Credit Risk**, accounting for 57% of total risk-weighted assets. The Group has implemented targeted remediation actions across its commercial real estate and leveraged loan sub-portfolios in response to deteriorating credit conditions in the North American market.

2. Risk Summary

2.1 Risk Exposure by Category — Q3 2025

The table below presents the Group's risk-weighted assets (RWA) broken down by risk category as at 30 September 2025, compared with the prior quarter. All figures are expressed in USD millions.

Risk Category	RWA Q3 2025 (USD M)	RWA Q2 2025 (USD M)	Change (%)	Status
Credit Risk	2,748	2,591	+6.1%	HIGH
Market Risk	1,054	987	+6.8%	ELEVATED
Operational Risk	621	609	+2.0%	MODERATE
Liquidity Risk	284	262	+8.4%	MODERATE
Counterparty Risk	113	86	+31.4%	ELEVATED
TOTAL	**4,820**	**4,535**	**+6.3%**	**–**

Source: Meridian Financial Group Risk Management Division. Figures may not sum due to rounding.

2.2 Credit Risk — Sub-portfolio Detail

Credit risk remains the dominant risk driver for the Group. The increase in Q3 reflects net loan growth of USD 312 million in the commercial real estate (CRE) sub-portfolio and USD 94 million in leveraged lending. The non-performing loan (NPL) ratio increased from 1.8% to 2.1%, remaining below the peer-group median of 2.4%.

Sub-portfolio	Exposure (USD M)	NPL Ratio (%)	Provision Coverage (%)
Residential Mortgage	841	0.9%	145%
Commercial Real Estate	712	3.2%	112%

Corporate Lending	634	2.6%	118%
Leveraged Loans	321	4.1%	98%
Consumer Credit	240	1.4%	132%
Total Credit Risk	**2,748**	**2.1%**	**119%**

3. Capital Adequacy

3.1 Capital Ratios

The Group maintains capital ratios in excess of all regulatory minimum requirements. The CET1 ratio of 12.4% provides a buffer of 440 basis points above the 8.0% minimum requirement and 220 basis points above the 10.2% Supervisory Capital Assessment threshold communicated by the Federal Reserve Board on 14 March 2025 (Reference: FRB-2025-0847).

Capital Measure	Q3 2025	Q2 2025	Regulatory Minimum	Buffer (bps)
Common Equity Tier 1 (CET1)	12.4%	12.1%	8.0%	+440
Tier 1 Capital Ratio	13.8%	13.5%	9.5%	+430
Total Capital Ratio	15.2%	14.9%	11.5%	+370
Leverage Ratio (Basel III)	5.8%	5.7%	3.0%	+280

4. Regulatory Compliance Status

The Group is subject to oversight by the Federal Reserve Board, the Office of the Comptroller of the Currency (OCC), and the Financial Industry Regulatory Authority (FINRA). The following table summarises compliance status across applicable regulatory frameworks as at 30 September 2025.

Framework / Regulation	Applicability	Status	Notes
Basel III Capital Framework	Group-wide	**Compliant**	CET1 12.4% vs 8.0% min
Dodd-Frank Act (Title I/II)	Group-wide	**Compliant**	Annual stress test submitted
Regulation Q (Capital Rules)	Group-wide	**Compliant**	Ref: FRB-2025-0847
Volcker Rule (Regulation VV)	Trading book	**Compliant**	Quarterly attestation filed
CRA (12 CFR Part 25)	Retail banking	**Satisfactory**	Last exam: Feb 2025
AML / BSA (31 CFR Part 103)	All entities	**Compliant**	Enhanced monitoring active
CCAR (Comprehensive Capital)	Holding company	**Compliant**	FRB approval received Jun 2025

5. Forward-Looking Statements and Outlook

The Group anticipates continued moderate growth in risk-weighted assets through Q4 2025, driven by seasonal increases in consumer credit and corporate lending activity. Management expects the CET1 ratio to remain above 12.0% through year-end, supported by disciplined capital allocation and the suspension of share buybacks announced on 18 September 2025.

The elevated counterparty risk exposure (+31.4% QoQ) reflects increased derivative activity in Q3 and is expected to normalise in Q4 following the maturity of a USD 27 million cross-currency swap portfolio on 15 October 2025. The Group has no material direct exposure to the commercial property markets in the Asia-Pacific region.

This disclosure contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. Actual results may differ materially from those projected.